ability to execute day in, day out, month after month, year after year is a discipline that very few Indian management teams have mastered.

Nikhil explained to Mr Talwar how Ambit's good and clean construct helps identify high-quality companies using a set of highly effective filters.

The Good and Clean framework

There are two filters that are run on the whole universe of stocks:

'Good': helps in identifying stocks that have done a great job in creating shareholder value—right from judicious capital expenditure to profitability and to return of surplus cash to shareholders.

'Clean': helps in identifying how good the company's corporate governance is and what the quality of their published accounts is. It is a measure of the long-term sustainability of a company and its performance.

The focus on 'good' helps generate the upside while not compromising on 'clean' reduces the downside risk. One cannot overemphasize the value of limiting the downside. Exhibit 69 shows the extra amount of upside that a manager needs just to make up for the downside faced. For example, after a 50 per cent downside, a portfolio manager has to give a 100 per cent performance just to get back where he began. And that is why Warren Buffett's famous two rules on investing are: *Rule No. 1 – Never lose money. Rule No. 2 – Don't forget rule number 1.*